

The Norfolk AI Group — Financial Report

The Norfolk AI Group — The Norfolk AI Group — Consolidated Portfolio

The Norfolk AI Group

Income Statement

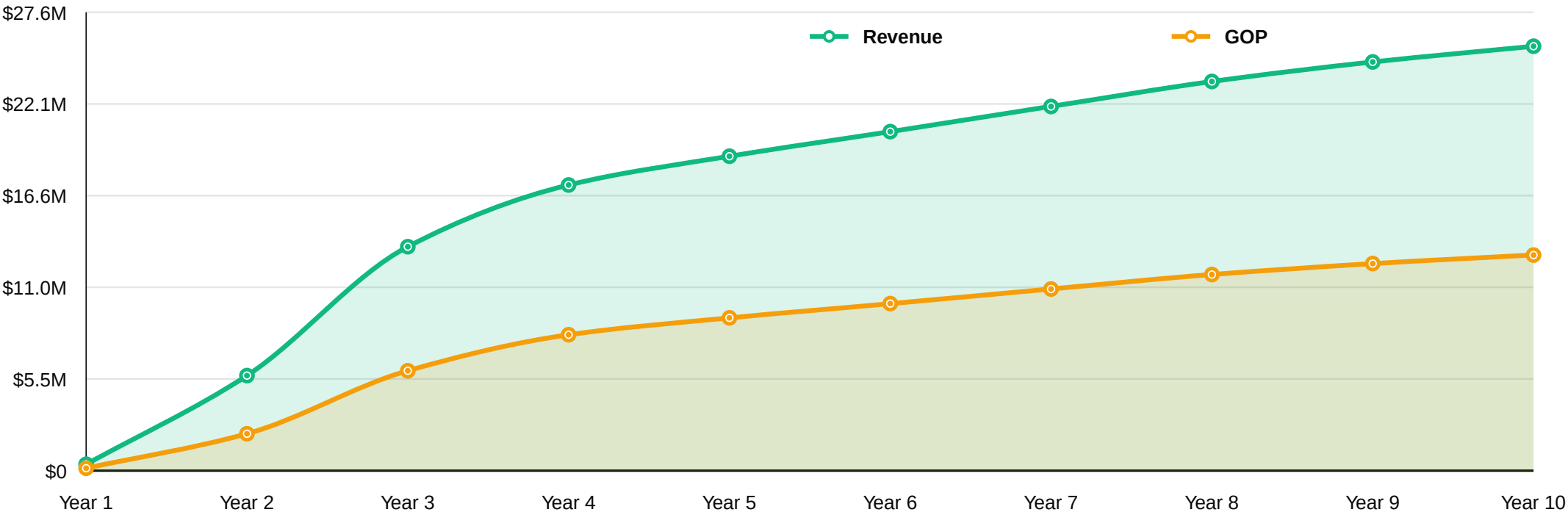
	FY Year 1	FY Year 2	FY Year 3	FY Year 4	FY Year 5	FY Year 6	FY Year 7	FY Year 8	FY Year 9	FY Year 10
Total Revenue	413,862	6,183,745	14,570,269	18,585,525	20,456,693	22,056,944	23,693,617	25,322,051	26,593,131	27,613,786
Gross Operating Profit (GOP)	157,399	2,398,671	6,498,891	8,842,737	9,940,392	10,868,272	11,816,067	12,757,508	13,472,182	14,026,334
Adjusted GOP (AGOP)	114,495	1,711,532	4,832,399	6,642,505	7,477,994	8,183,066	8,903,135	9,618,214	10,158,776	10,575,634
NOI	5,187	1,289,665	4,238,199	6,048,305	6,883,794	7,588,866	8,308,935	9,024,014	9,564,576	9,981,434
ANOI	(9,682)	1,044,068	3,657,211	5,306,780	6,067,498	6,708,639	7,363,323	8,013,350	8,503,158	8,879,281
Net Income	(128,310)	327,783	1,984,740	3,116,130	3,464,248	3,867,035	4,342,772	4,815,421	5,177,318	5,463,001

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Income Statement — Trends



Cash Flow Statement

	FY Year 1	FY Year 2	FY Year 3	FY Year 4	FY Year 5	FY Year 6	FY Year 7	FY Year 8	FY Year 9	FY Year 10
Operating Cash Flow	(20,991)	661,650	2,484,419	3,615,809	3,963,927	4,366,714	4,842,452	5,315,101	5,676,997	5,962,681
Financing Cash Flow	—	(41,351)	427,358	683,152	4,213,960	(233,435)	(251,156)	(270,240)	(290,793)	(312,931)
Cash Flow	(20,991)	620,299	2,911,777	4,298,961	8,177,887	4,133,279	4,591,296	5,044,861	5,386,204	5,649,749
Ending Cash	1,179,009	2,699,307	6,111,085	10,410,046	18,587,933	22,721,212	27,312,507	32,357,368	37,743,572	43,393,322

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Assumptions — The Norfolk AI Group

FY Value	
Company Identity	
Company Name	The Norfolk AI Group
Property Label	Boutique Hotel
Model Start Date	2026-04-01
Operations Start Date	2026-06-01
Projection Years	10
Fiscal Year Start Month	1
Macro & Inflation	
Inflation Rate	3.00%
Fixed Cost Escalation	3.00%
Management Fees	
Base Management Fee	8.50%
Incentive Management Fee	12.00%
Funding	
Funding Source Label	Funding Vehicle
Capital Raise 1 Amount	1,000,000
Capital Raise 1 Date	2026-06-01
Capital Raise 2 Amount	1,000,000
Capital Raise 2 Date	2027-04-01
Valuation Cap	2,500,000
Discount Rate	20.00%
Funding Interest Rate	8.00%
Interest Payment Frequency	accrues_only
Partner Compensation	
Year 1: 3 partners @ 360000	
Year 2: 3 partners @ 420000	

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Assumptions — The Norfolk AI Group (cont'd)

	FY Value
Year 3: 3 partners @ 480000	
Year 4: 3 partners @ 600000	
Year 5: 3 partners @ 600000	
Year 6: 3 partners @ 700000	
Year 7: 3 partners @ 700000	
Year 8: 3 partners @ 800000	
Year 9: 3 partners @ 800000	
Year 10: 3 partners @ 900000	
Staffing	
Staff Salary	75,000
Tier 1 (d 3 properties)	2.5 FTE
Tier 2 (d 6 properties)	4.5 FTE
Tier 3 (above Tier 2)	7 FTE
Fixed Overhead (Year 1)	
Office Lease	36,000
Professional Services	24,000
Tech Infrastructure	18,000
Business Insurance	12,000
Variable Costs	
Travel Cost / Client	12,000
IT License / Client	3,000
Marketing Rate (% revenue)	3.00%
Misc Ops Rate (% revenue)	3.00%
Tax & Returns	
Company Tax Rate	21.00%
Cost of Equity	18.00%

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Assumptions — The Norfolk AI Group (cont'd)

	FY Value
Acquisition (Standard Package)	
Purchase Price	3,800,000
Building Improvements	1,200,000
Pre-Opening Costs	200,000
Operating Reserve	250,000
Months to Operations	6
Acquisition Commission	5.00%
Debt (Default)	
Acquisition LTV	75.00%
Acquisition Closing Cost	2.00%
Acquisition Interest Rate	7.50%
Amortization (Years)	25
Refinance LTV	75.00%
Refinance Closing Cost	3.00%
Exit Defaults	
Exit Cap Rate	6.20%
Sales Commission	5.00%
Depreciation Years	39

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Assumptions — Jano Grande Ranch

FY Value	
Property Profile	
Name	Jano Grande Ranch
Business Model	hotel
Quality Tier	upscale
Rooms	8
Acquisition Date	2026-06-01
Operations Start	2026-12-01
Revenue Assumptions	
Starting ADR	310
ADR Growth Rate	3.50%
Starting Occupancy	30.00%
Max Occupancy	72.00%
Occupancy Ramp Months	12
Room Count	8
Catering Boost %	25.00%
Revenue Share — Events	30.00%
Revenue Share — F&B	25.00%
Revenue Share — Other	8.00%
Operating Cost Rates	
Cost Rate — Rooms	17.00%
Cost Rate — F&B	10.00%
Cost Rate — Admin	6.00%
Cost Rate — Marketing	1.50%
Cost Rate — Property Ops	5.00%
Cost Rate — Utilities	4.00%
Cost Rate — Taxes	1.60%

Assumptions — Jano Grande Ranch (cont'd)

	FY Value
Cost Rate — IT	0 . 50%
Cost Rate — FF&E	4 . 00%
Cost Rate — Other	5 . 00%
Cost Rate — Insurance	1 . 50%
Operating Assumptions	
Land Value %	25 . 00%
Management Fees	
Base Management Fee Rate	8 . 50%
Incentive Management Fee Rate	12 . 00%
Acquisition Debt	
Acquisition LTV	0 . 00%
Acquisition Interest Rate	9 . 50%
Acquisition Term (Years)	25
Acquisition Closing Cost Rate	2 . 00%
Refinance Debt	
Refinance LTV	70 . 00%
Refinance Interest Rate	8 . 50%
Refinance Term (Years)	25
Refinance Closing Cost Rate	3 . 00%
Exit Assumptions	
Exit Cap Rate	12 . 00%
Income Tax Rate	35 . 00%
Disposition Commission	5 . 00%
Brand Fee Stack	
Franchise Fee (% room revenue)	5 . 00%
Royalty Fee (% room revenue)	5 . 00%

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Assumptions — Jano Grande Ranch (cont'd)

	FY Value
Brand Marketing Fee (% room revenue)	2 . 00%
Loyalty Program Fee (% room revenue)	0 . 50%
Reservation Fee (% room revenue)	1 . 25%
Brand Technology Fee (% room revenue)	0 . 50%
Hotel Management Agree-ment	
HMA Term (Years)	10
HMA Termination Notice (Months)	12
HMA Contract Start Year	—
HMA Termination Fee (Months of Base Mgmt Fee)	18
Condo / Mixed-Use	
Condo Association Dues (% revenue)	0 . 00%
Pending Condo Special As-sessments (\$)	—

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Assumptions — Belleayre Mountain

FY Value	
Property Profile	
Name	Belleayre Mountain
Business Model	hotel
Quality Tier	upscale
Rooms	20
Acquisition Date	2027-03-01
Operations Start	2027-09-01
Revenue Assumptions	
Starting ADR	320
ADR Growth Rate	3.50%
Starting Occupancy	40.00%
Max Occupancy	68.00%
Occupancy Ramp Months	12
Room Count	20
Catering Boost %	20.00%
Revenue Share — Events	30.00%
Revenue Share — F&B	28.00%
Revenue Share — Other	7.00%
Operating Cost Rates	
Cost Rate — Rooms	20.00%
Cost Rate — F&B	9.00%
Cost Rate — Admin	8.00%
Cost Rate — Marketing	2.00%
Cost Rate — Property Ops	6.00%
Cost Rate — Utilities	5.50%
Cost Rate — Taxes	3.50%

Assumptions — Belleayre Mountain (cont'd)

	FY Value
Cost Rate — IT	0 . 50%
Cost Rate — FF&E	4 . 00%
Cost Rate — Other	4 . 00%
Cost Rate — Insurance	1 . 50%
Operating Assumptions	
Land Value %	25 . 00%
Management Fees	
Base Management Fee Rate	8 . 50%
Incentive Management Fee Rate	12 . 00%
Acquisition Debt	
Acquisition LTV	0 . 00%
Acquisition Interest Rate	7 . 50%
Acquisition Term (Years)	25
Acquisition Closing Cost Rate	2 . 00%
Refinance Debt	
Refinance LTV	70 . 00%
Refinance Interest Rate	7 . 00%
Refinance Term (Years)	25
Refinance Closing Cost Rate	3 . 00%
Exit Assumptions	
Exit Cap Rate	9 . 75%
Income Tax Rate	25 . 00%
Disposition Commission	5 . 00%
Brand Fee Stack	
Franchise Fee (% room revenue)	5 . 00%
Royalty Fee (% room revenue)	5 . 00%

Assumptions — Belleayre Mountain (cont'd)

	FY Value
Brand Marketing Fee (% room revenue)	2 . 00%
Loyalty Program Fee (% room revenue)	0 . 50%
Reservation Fee (% room revenue)	1 . 25%
Brand Technology Fee (% room revenue)	0 . 50%
Hotel Management Agree-ment	
HMA Term (Years)	10
HMA Termination Notice (Months)	12
HMA Contract Start Year	—
HMA Termination Fee (Months of Base Mgmt Fee)	18
Condo / Mixed-Use	
Condo Association Dues (% revenue)	0 . 00%
Pending Condo Special As-sessments (\$)	—

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Assumptions — Lakeview Haven Lodge

FY Value	
Property Profile	
Name	Lakeview Haven Lodge
Business Model	lodge
Quality Tier	upscale
Rooms	14
Acquisition Date	2027-12-01
Operations Start	2028-06-01
Revenue Assumptions	
Starting ADR	450
ADR Growth Rate	3.00%
Starting Occupancy	50.00%
Max Occupancy	70.00%
Occupancy Ramp Months	3
Room Count	14
Catering Boost %	15.00%
Revenue Share — Events	15.00%
Revenue Share — F&B	25.00%
Revenue Share — Other	5.00%
Operating Cost Rates	
Cost Rate — Rooms	20.00%
Cost Rate — F&B	9.00%
Cost Rate — Admin	7.00%
Cost Rate — Marketing	2.00%
Cost Rate — Property Ops	5.50%
Cost Rate — Utilities	5.00%
Cost Rate — Taxes	2.00%

Assumptions — Lakeview Haven Lodge (cont'd)

	FY Value
Cost Rate — IT	0 . 50%
Cost Rate — FF&E	4 . 00%
Cost Rate — Other	4 . 00%
Cost Rate — Insurance	1 . 50%
Operating Assumptions	
Land Value %	25 . 00%
Management Fees	
Base Management Fee Rate	8 . 50%
Incentive Management Fee Rate	12 . 00%
Acquisition Debt	
Acquisition LTV	65 . 00%
Acquisition Interest Rate	7 . 00%
Acquisition Term (Years)	25
Acquisition Closing Cost Rate	2 . 50%
Refinance Debt	
Refinance LTV	75 . 00%
Refinance Interest Rate	7 . 50%
Refinance Term (Years)	25
Refinance Closing Cost Rate	3 . 00%
Exit Assumptions	
Exit Cap Rate	9 . 75%
Income Tax Rate	22 . 00%
Disposition Commission	5 . 00%
Brand Fee Stack	
Franchise Fee (% room revenue)	5 . 00%
Royalty Fee (% room revenue)	5 . 00%

Assumptions — Lakeview Haven Lodge (cont'd)

	FY Value
Brand Marketing Fee (% room revenue)	2 . 00%
Loyalty Program Fee (% room revenue)	0 . 50%
Reservation Fee (% room revenue)	1 . 25%
Brand Technology Fee (% room revenue)	0 . 50%
Hotel Management Agree-ment	
HMA Term (Years)	10
HMA Termination Notice (Months)	12
HMA Contract Start Year	—
HMA Termination Fee (Months of Base Mgmt Fee)	18
Condo / Mixed-Use	
Condo Association Dues (% revenue)	0 . 00%
Pending Condo Special As-sessments (\$)	—

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Assumptions — San Diego

	FY Value
Property Profile	
Name	San Diego
Business Model	hotel
Quality Tier	upscale
Rooms	20
Acquisition Date	2028-04-01
Operations Start	2028-10-01
Revenue Assumptions	
Starting ADR	300
ADR Growth Rate	3.50%
Starting Occupancy	42.00%
Max Occupancy	72.00%
Occupancy Ramp Months	10
Room Count	20
Catering Boost %	20.00%
Revenue Share — Events	30.00%
Revenue Share — F&B	24.00%
Revenue Share — Other	6.00%
Operating Cost Rates	
Cost Rate — Rooms	17.00%
Cost Rate — F&B	9.00%
Cost Rate — Admin	7.00%
Cost Rate — Marketing	1.50%
Cost Rate — Property Ops	3.50%
Cost Rate — Utilities	4.00%
Cost Rate — Taxes	2.50%

Assumptions — San Diego (cont'd)

	FY Value
Cost Rate — IT	0 . 50%
Cost Rate — FF&E	4 . 00%
Cost Rate — Other	4 . 00%
Cost Rate — Insurance	1 . 50%
Operating Assumptions	
Land Value %	25 . 00%
Management Fees	
Base Management Fee Rate	8 . 50%
Incentive Management Fee Rate	12 . 00%
Acquisition Debt	
Acquisition LTV	60 . 00%
Acquisition Interest Rate	9 . 50%
Acquisition Term (Years)	25
Acquisition Closing Cost Rate	2 . 00%
Refinance Debt	
Refinance LTV	75 . 00%
Refinance Interest Rate	7 . 50%
Refinance Term (Years)	25
Refinance Closing Cost Rate	3 . 00%
Exit Assumptions	
Exit Cap Rate	10 . 50%
Income Tax Rate	35 . 00%
Disposition Commission	5 . 00%
Brand Fee Stack	
Franchise Fee (% room revenue)	5 . 00%
Royalty Fee (% room revenue)	5 . 00%

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Assumptions — San Diego (cont'd)

	FY Value
Brand Marketing Fee (% room revenue)	2 . 00%
Loyalty Program Fee (% room revenue)	0 . 50%
Reservation Fee (% room revenue)	1 . 25%
Brand Technology Fee (% room revenue)	0 . 50%
Hotel Management Agree-ment	
HMA Term (Years)	10
HMA Termination Notice (Months)	12
HMA Contract Start Year	—
HMA Termination Fee (Months of Base Mgmt Fee)	18
Condo / Mixed-Use	
Condo Association Dues (% revenue)	0 . 00%
Pending Condo Special As-sessments (\$)	—

Assumptions — Loch Sheldrake

	FY Value
Property Profile	
Name	Loch Sheldrake
Business Model	hotel
Quality Tier	upscale
Rooms	20
Acquisition Date	2026-11-01
Operations Start	2027-05-01
Revenue Assumptions	
Starting ADR	280
ADR Growth Rate	3.50%
Starting Occupancy	50.00%
Max Occupancy	68.00%
Occupancy Ramp Months	4
Room Count	20
Catering Boost %	22.00%
Revenue Share — Events	35.00%
Revenue Share — F&B	25.00%
Revenue Share — Other	8.00%
Operating Cost Rates	
Cost Rate — Rooms	19.00%
Cost Rate — F&B	9.00%
Cost Rate — Admin	7.00%
Cost Rate — Marketing	2.00%
Cost Rate — Property Ops	5.50%
Cost Rate — Utilities	5.50%
Cost Rate — Taxes	3.50%

Assumptions — Loch Sheldrake (cont'd)

	FY Value
Cost Rate — IT	0 . 50%
Cost Rate — FF&E	4 . 00%
Cost Rate — Other	4 . 00%
Cost Rate — Insurance	1 . 50%
Operating Assumptions	
Land Value %	25 . 00%
Management Fees	
Base Management Fee Rate	8 . 50%
Incentive Management Fee Rate	12 . 00%
Acquisition Debt	
Acquisition LTV	0 . 00%
Acquisition Interest Rate	7 . 50%
Acquisition Term (Years)	25
Acquisition Closing Cost Rate	2 . 00%
Refinance Debt	
Refinance LTV	70 . 00%
Refinance Interest Rate	7 . 00%
Refinance Term (Years)	25
Refinance Closing Cost Rate	3 . 00%
Exit Assumptions	
Exit Cap Rate	9 . 75%
Income Tax Rate	25 . 00%
Disposition Commission	5 . 00%
Brand Fee Stack	
Franchise Fee (% room revenue)	5 . 00%
Royalty Fee (% room revenue)	5 . 00%

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Assumptions — Loch Sheldrake (cont'd)

	FY Value
Brand Marketing Fee (% room revenue)	2 . 00%
Loyalty Program Fee (% room revenue)	0 . 50%
Reservation Fee (% room revenue)	1 . 25%
Brand Technology Fee (% room revenue)	0 . 50%
Hotel Management Agree-ment	
HMA Term (Years)	10
HMA Termination Notice (Months)	12
HMA Contract Start Year	—
HMA Termination Fee (Months of Base Mgmt Fee)	18
Condo / Mixed-Use	
Condo Association Dues (% revenue)	0 . 00%
Pending Condo Special As-sessments (\$)	—

Assumptions — Scott's House

FY Value	
Property Profile	
Name	Scott's House
Business Model	hotel
Quality Tier	upscale
Rooms	20
Acquisition Date	2027-08-01
Operations Start	2028-02-01
Revenue Assumptions	
Starting ADR	350
ADR Growth Rate	3.00%
Starting Occupancy	45.00%
Max Occupancy	65.00%
Occupancy Ramp Months	6
Room Count	20
Catering Boost %	20.00%
Revenue Share — Events	30.00%
Revenue Share — F&B	20.00%
Revenue Share — Other	8.00%
Operating Cost Rates	
Cost Rate — Rooms	20.00%
Cost Rate — F&B	8.00%
Cost Rate — Admin	7.00%
Cost Rate — Marketing	2.00%
Cost Rate — Property Ops	5.00%
Cost Rate — Utilities	5.00%
Cost Rate — Taxes	2.00%

Assumptions — Scott's House (cont'd)

	FY Value
Cost Rate — IT	0 . 50%
Cost Rate — FF&E	4 . 00%
Cost Rate — Other	4 . 00%
Cost Rate — Insurance	1 . 50%
Operating Assumptions	
Land Value %	25 . 00%
Management Fees	
Base Management Fee Rate	8 . 50%
Incentive Management Fee Rate	12 . 00%
Acquisition Debt	
Acquisition LTV	60 . 00%
Acquisition Interest Rate	7 . 00%
Acquisition Term (Years)	25
Acquisition Closing Cost Rate	2 . 50%
Refinance Debt	
Refinance LTV	75 . 00%
Refinance Interest Rate	7 . 50%
Refinance Term (Years)	25
Refinance Closing Cost Rate	3 . 00%
Exit Assumptions	
Exit Cap Rate	9 . 75%
Income Tax Rate	22 . 00%
Disposition Commission	5 . 00%
Brand Fee Stack	
Franchise Fee (% room revenue)	5 . 00%
Royalty Fee (% room revenue)	5 . 00%

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Assumptions — Scott's House (cont'd)

	FY Value
Brand Marketing Fee (% room revenue)	2 . 00%
Loyalty Program Fee (% room revenue)	0 . 50%
Reservation Fee (% room revenue)	1 . 25%
Brand Technology Fee (% room revenue)	0 . 50%
Hotel Management Agree-ment	
HMA Term (Years)	10
HMA Termination Notice (Months)	12
HMA Contract Start Year	—
HMA Termination Fee (Months of Base Mgmt Fee)	18
Condo / Mixed-Use	
Condo Association Dues (% revenue)	0 . 00%
Pending Condo Special As-sessments (\$)	—

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Assumptions — Medellin Duplex

FY Value	
Property Profile	
Name	Medellin Duplex
Business Model	vrbo_owner_managed
Quality Tier	upscale
Rooms	1
Acquisition Date	2025-03-01
Operations Start	2025-09-01
Revenue Assumptions	
Starting ADR	1,500
ADR Growth Rate	4.00%
Starting Occupancy	30.00%
Max Occupancy	30.00%
Occupancy Ramp Months	4
Room Count	1
Catering Boost %	0.00%
Revenue Share — Events	0.00%
Revenue Share — F&B	0.00%
Revenue Share — Other	0.00%
Operating Cost Rates	
Cost Rate — Rooms	6.00%
Cost Rate — F&B	0.00%
Cost Rate — Admin	0.00%
Cost Rate — Marketing	0.00%
Cost Rate — Property Ops	4.00%
Cost Rate — Utilities	4.00%
Cost Rate — Taxes	1.80%

Assumptions — Medellin Duplex (cont'd)

	FY Value
Cost Rate — IT	0.00%
Cost Rate — FF&E	3.00%
Cost Rate — Other	0.00%
Cost Rate — Insurance	2.50%
Operating Assumptions	
Land Value %	25.00%
Management Fees	
Base Management Fee Rate	10.00%
Incentive Management Fee Rate	0.00%
Acquisition Debt	
Acquisition LTV	0.00%
Acquisition Interest Rate	7.50%
Acquisition Term (Years)	25
Acquisition Closing Cost Rate	2.00%
Refinance Debt	
Refinance LTV	70.00%
Refinance Interest Rate	7.00%
Refinance Term (Years)	25
Refinance Closing Cost Rate	3.00%
Exit Assumptions	
Exit Cap Rate	7.50%
Income Tax Rate	35.00%
Disposition Commission	5.00%
Brand Fee Stack	
Franchise Fee (% room revenue)	5.00%
Royalty Fee (% room revenue)	5.00%

Assumptions — Medellin Duplex (cont'd)

	FY Value
Brand Marketing Fee (% room revenue)	2 . 00%
Loyalty Program Fee (% room revenue)	0 . 50%
Reservation Fee (% room revenue)	1 . 25%
Brand Technology Fee (% room revenue)	0 . 50%
Hotel Management Agree-ment	
HMA Term (Years)	10
HMA Termination Notice (Months)	12
HMA Contract Start Year	—
HMA Termination Fee (Months of Base Mgmt Fee)	18
Condo / Mixed-Use	
Condo Association Dues (% revenue)	0 . 00%
Pending Condo Special As-sessments (\$)	—